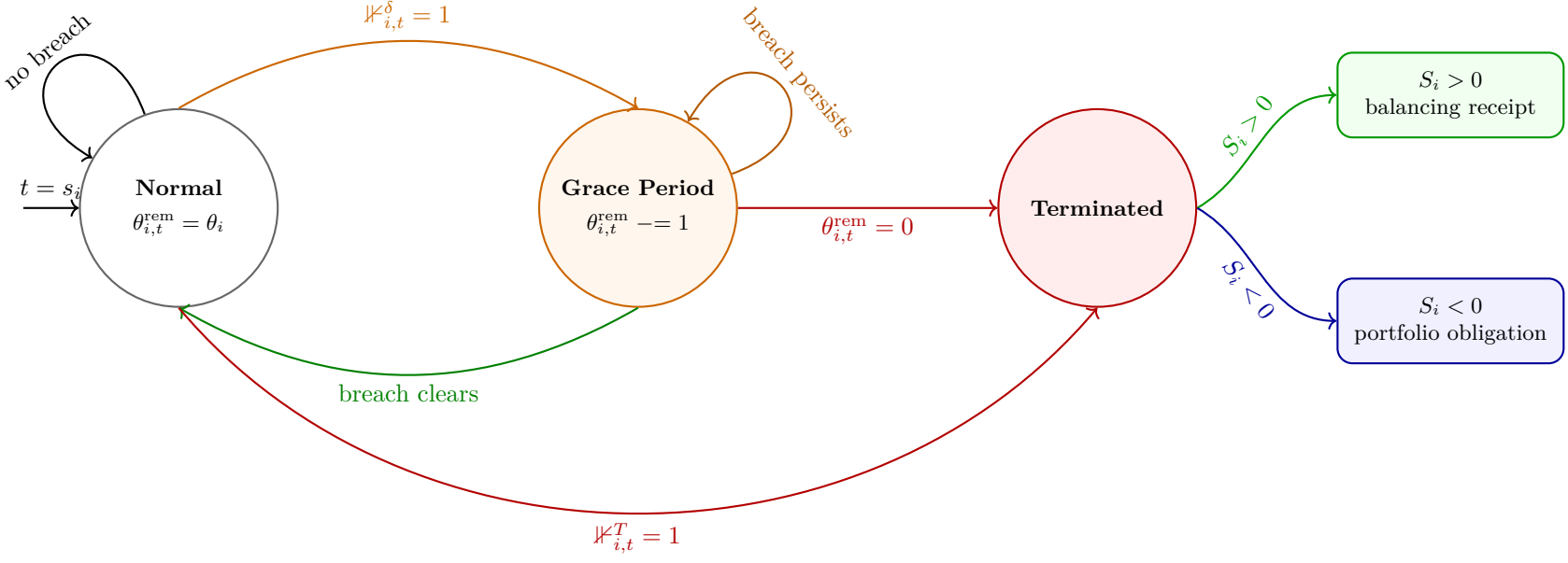
no breach
$t = s_i$
Normal
$\theta^{\text{rem}}_{i,t} = \theta_i$
$\mathbb{1}^{\delta}_{i,t} = 1$
Grace Period
$\theta^{\text{rem}}_{i,t} \mathrel{-}= 1$
breach persists
breach clears
$\theta^{\text{rem}}_{i,t} = 0$
Terminated
$S_i > 0$
$S_i > 0$
balancing receipt
$S_i < 0$
$S_i < 0$
portfolio obligation
$\mathbb{1}^{T}_{i,t} = 1$